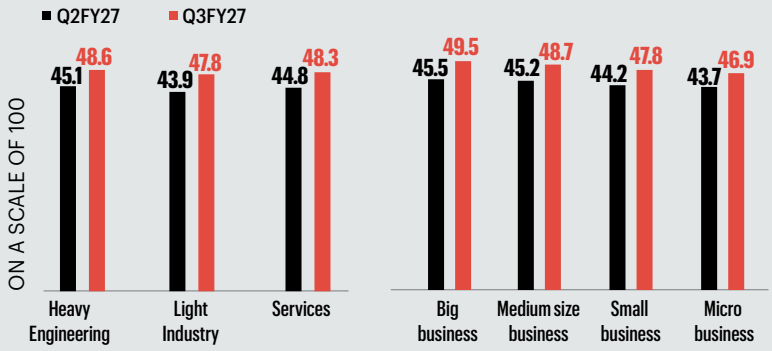
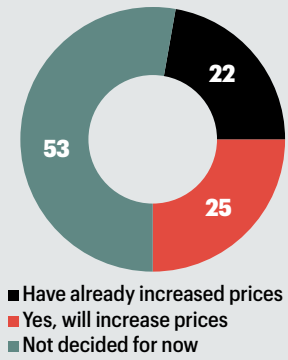
STILL DOWNBEAT

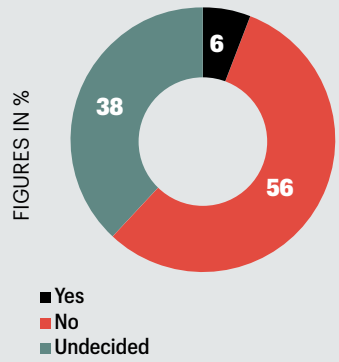
• Confidence improves across sectors, size of industries, but remains belowe 50



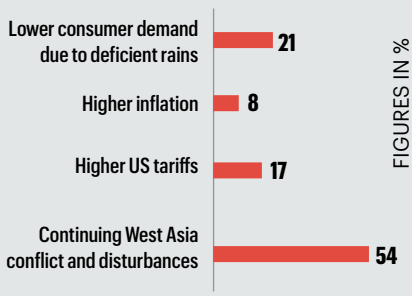
Are you looking at a price hike going forward?



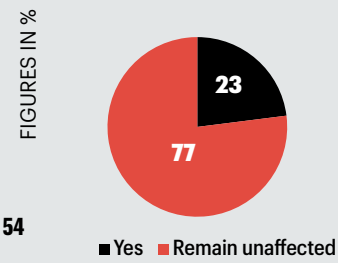
Are you planning expansion in facilities and capital investments?



What is your top concern for the third quarter (October- December) of the fiscal year?



Have the new free trade agreements, including the one with the UK, helped boost export orders? (This question was addressed to only those who are engaged in exports)



SOURCE THE *BT*-C FORE BUSINESS CONFIDENCE SURVEY CONDUCTED BETWEEN SEPTEMBER 9 AND 18, 2026 OF 500 CEOs OR CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES ACROSS 12 CITIES—DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VIZAG, AND BHUBANESHWAR

statement on October 7 also underlined the resilient private consumption and strong investment activity but said global economic uncertainty and strong El Nino conditions pose concerns. However, the MPC upped the growth forecast to 7.1% in FY27 from its earlier forecast of 6.7%.

DEMAND UNCERTAIN

Consumer demand is also keeping some businesses wary. While 37% said they expect higher demand, 21% identified lower consumer demand due to deficient rains as their chief concern for the third quarter.

Free trade agreements, meanwhile, appear to have had a limited impact on exporters' sales. Among businesses engaged in exports, only 23% said the trade deals have helped boost their sales.

Inflation, meanwhile, could add to the pressure on consumption demand. Retail inflation has been on the upward curve in recent months, rising to a 20-month high of 4.82% in August from 2.74% in January. Malhotra also noted that it is clear that inflation and its outlook are not benign as they were last year. The RBI has pegged retail inflation at 5.2% for FY27 and the MPC unanimously chose to hike the repo rate by 25 bps.

Sabnavis says there is expectation of higher inflation from deficient rains, which could impact discretionary spending. If oil prices continue to remain above $100 per barrel, the government could consider increasing retail prices, but it is unlikely to do so immediately.

Taneja believes any such decision may be taken only after mid-November. "There is talk of another US-Iran ceasefire, which will help to immediately bring down prices in the international markets," he says, adding that the government would also like to shield customers in the festive season, at least until Diwali.

A sustained easing of tensions in West Asia and greater clarity on rural incomes could determine whether India Inc's cautious stance gives way to stronger hiring and investment. **BT**

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